reserving the right to appoint the chairman of the luxury car maker. Tata Motors had already invested nearly eleven and half times the amount the government was willing to guarantee as a loan. In these circumstances, Ratan found the demand for the right to choose the chairman ‘very onerous and hence unacceptable’.

Prime Minister Brown replied that a short-term guarantee was not feasible as it exposed the government to ‘significantly more risk’. The government ‘proposed a term-sheet’ (a non-binding agreement containing the terms and conditions to make an investment). This was rejected by Ratan as being onerous as well. The Prime Minister was, however, willing to consider a ‘counter guarantee’ ‘by a Tata group company or by a bank’.

On the third day after receiving the letter, Ratan replied to the Prime Minister stating that while it was working on a new term sheet, Tata Motors would do everything in its capacity to ‘protect its investments’ and ‘sustain the operations’. He added that the ‘magnitude and scope of the economic collapse’, however, made it beyond the ‘ability of most companies to support’ [tide over the crisis].

Before a month could pass, Ratan wrote again to Lord Mandelson reminding him that ten months had elapsed since Tata Motors began discussions with BERR and that it would clear any doubts that the government may have. This yielded nothing, and Ratan did not expect any other outcome.

He said in a mail to Kant that ‘the UK government would not facilitate any kind of commercial instrument to JLR that we had requested’. But his efforts with other sources bore fruit and he obtained ‘some direct bank loans’. Tata Motors also obtained a ‘guarantee from a commercial bank’.

Despite the stance taken by Mandelson, Ratan wrote to him apprising him of the financial support that the group had received on its own. The letter elicited an acknowledgement that the funding assistance received was a ‘clear sign of confidence in the company, its management and its products’.

The loan was a personal triumph for Ratan, as Brown’s government had refused support to Tata Motors when it had extended assistance to several other troubled automakers. In March 2010, the British government provided a loan guarantee of £360 million to Ford to support its ‘£1.5bn, five-year plan to develop green engines’. The government also offered a grant of £20.7 million to Nissan to support its electric car plans. General Motors was